



GEOECONOMIC
STRATEGY UNIT

GEOECONOMIC RISK BAROMETER

Mapping the next moves
of capital and power

Q3 2026

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Executive Summary

GLOBAL / STRATEGIC INVESTMENT FACES DELIVERY CONSTRAINTS

The World Bank’s June forecast puts 2026 global growth at 2.5%. Hormuz disruption raises costs worldwide, while power and production constraints delay the conversion of strategic investment into output.

NORTH AMERICA

USMCA renewal stalls

US energy prices rose 16.3% year-on-year in August. Higher costs and trade uncertainty deter investment.

WESTERN EUROPE

UK-India FTA takes effect

Effective 15 July, the deal covers 99% of Indian goods entering the UK. However, production capacity must be scaled further.

SOUTH ASIA

Growth strengthens; energy risks rise

ADB raised its 2026 growth to 6.4%, from 6.0%. LNG costs and Nepal’s floods expose infrastructure risks.

EASTERN EUROPE

EU defence funding reaches Ukraine

The EU paid €3.3bn on 18 September for drones and missiles; war and production constraints limit delivery.

OCEANIA

NZ-India trade deal approaches

Scheduled for 20 October, tariff relief covers 95% of existing NZ goods trade; but energy costs weigh on gains.

CENTRAL ASIA

SCO advances AI cooperation

Growth is forecast at 5.8% in 2026. Power shortages and Central Asia’s Russian fuel dependence constrain digital investment.

MIDDLE EAST

Hormuz traffic nears a halt

Only two vessels crossed on 22 September, versus ~125 daily pre-war, raising energy, freight, and insurance costs worldwide.

AFRICA

AGOA extension meets tariff friction

Extension through 2028 aids exporter confidence; while 12.5% tariffs on five countries narrow market preferences.

LATIN AMERICA

Copper projects face delivery delays

Tía María’s permit advances Peru’s US\$65bn mining portfolio. security and approvals continue to delay regional output.

Q4 Outlook

The reopening of key maritime corridors in the Middle East will be a key determinant of growth in Q4. Grid connectivity emerges as another constraint, especially for energy-intensive investments in AI. Easing these constraints would support business confidence and household demand. On the other hand, continued disruption could keep costs elevated and delay new output.

Foreword

We are pleased to introduce the Geoeconomic Risk Barometer, the flagship research of the Geoeconomic Strategy Unit (GSU). The GSU is a research-driven initiative of analysts and strategists focused on making geopolitics and economics approachable in the boardroom. Our purpose is to help leaders make insightful, data-driven, and effective decisions in volatile markets across the world.

The Barometer provides a decision-grade overview of where execution is most feasible in the near and medium term. It blends hard indicators with regional insights and corridor-level analysis to drive decision-making at the highest levels. Our Risk-Adjusted Opportunity (RAO) score is published separately as a companion output, supporting our country briefs, triggers to watch, and strategic outlook. We publish quarterly, with interim updates when conditions shift, to keep the analysis current, comparable, and decision-relevant.

Our aim is to improve capital mobility and unlock cross-border growth by clarifying risk and aligning incentives across high-growth trade corridors. We draw on long-standing relationships with ministries, investors, media, and corporates to translate research into financing structures and risk-mitigation design.

We look forward to engaging with you through briefings and tailored strategy work. I invite you to join us on our journey as we track the next moves of capital and power across the world's most consequential markets.



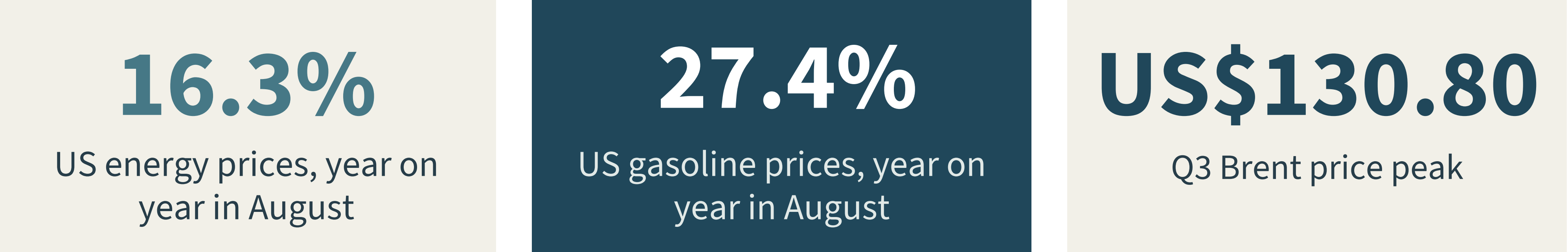
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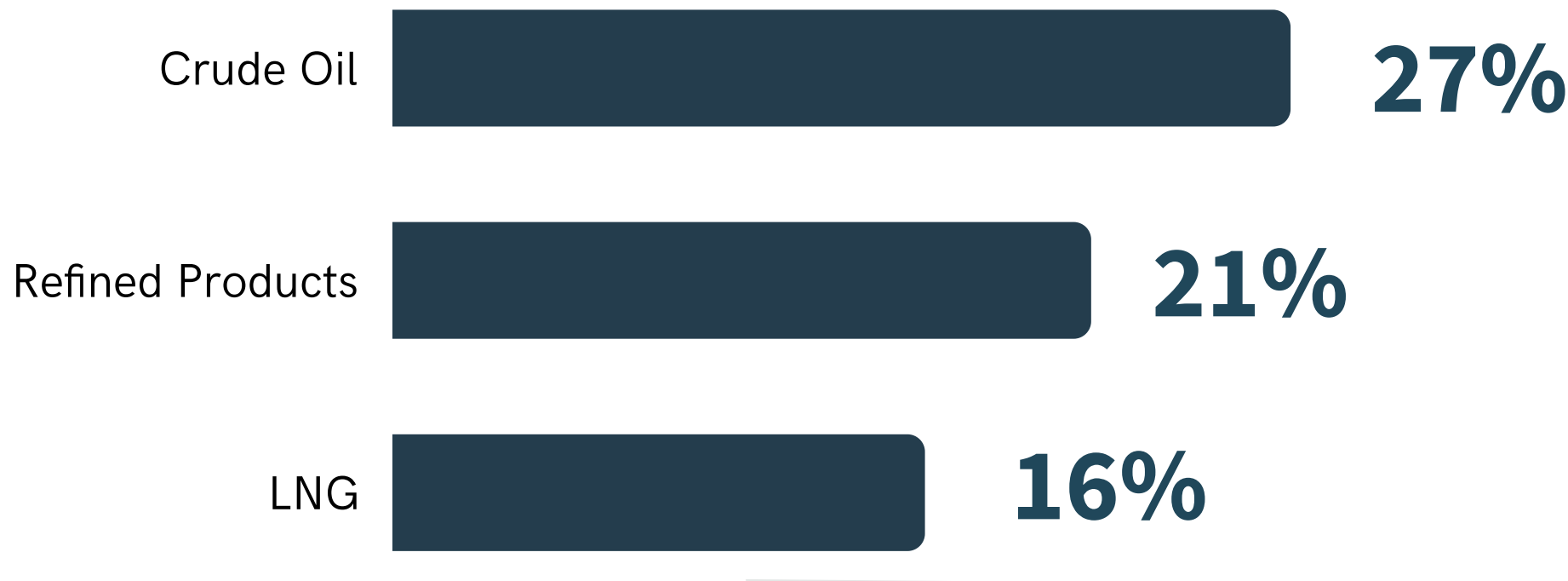
NORTH AMERICA

Higher energy costs and unresolved trade rules weigh on North America, while pharmaceutical manufacturing and AI demand support investment. US tariffs encourage domestic drug production, and preleased data centres create demand for power generation, grids, construction and cooling. The scale of expansion depends on energy prices, finance and infrastructure delivery.

Renewed oil shock raises regional costs



Global supply reduction versus pre-conflict levels



The Federal Reserve raised its policy rate to 3.75-4.00% in September as August inflation remained at 3.4%, increasing financing pressure on construction and real estate. Oil producers benefit from higher prices, but those gains do not offset the wider rise in input and transport costs.

Sources: US Energy Information Administration; S&P Global. Supply figures are decreases.

The USMCA review leaves trade uncertainty

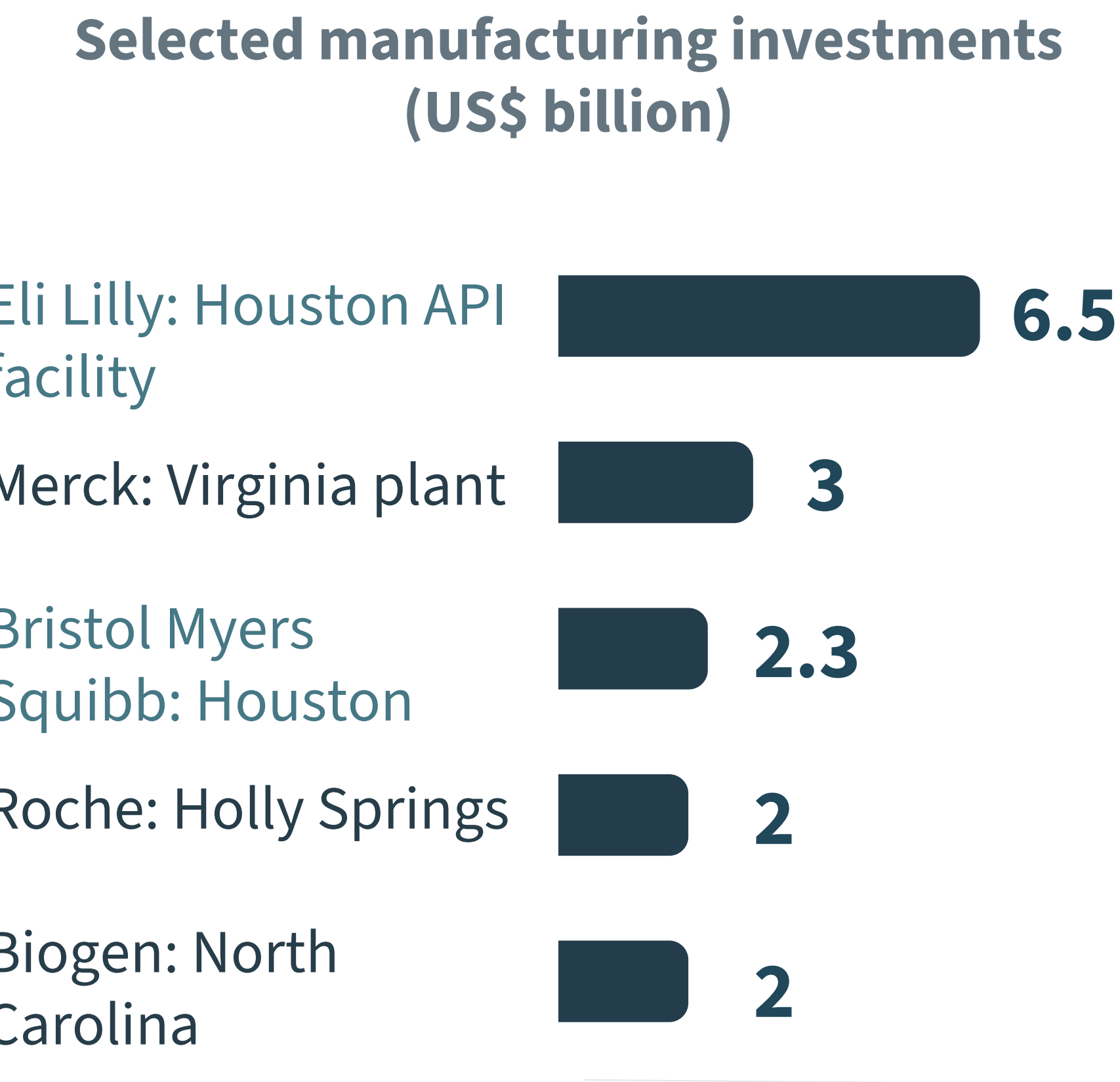
On 1 July, the US declined to renew the USMCA in its current form. It remains in force during negotiations on autos, steel, aluminium and electronic payments. Uncertainty is deterring Mexican investment, with new foreign investment down 13% in H1 2026. Canada imposed counter-tariffs on 8 September after US tariffs of 50% on US\$20 billion of Canadian goods took effect on 22 August.



Share of merchandise exports going to the US. Sources: BBVA Research; Statistics Canada.

Both economies remain exposed to US trade policy. Mexico has increased USMCA compliance by aligning automotive content with US demand.

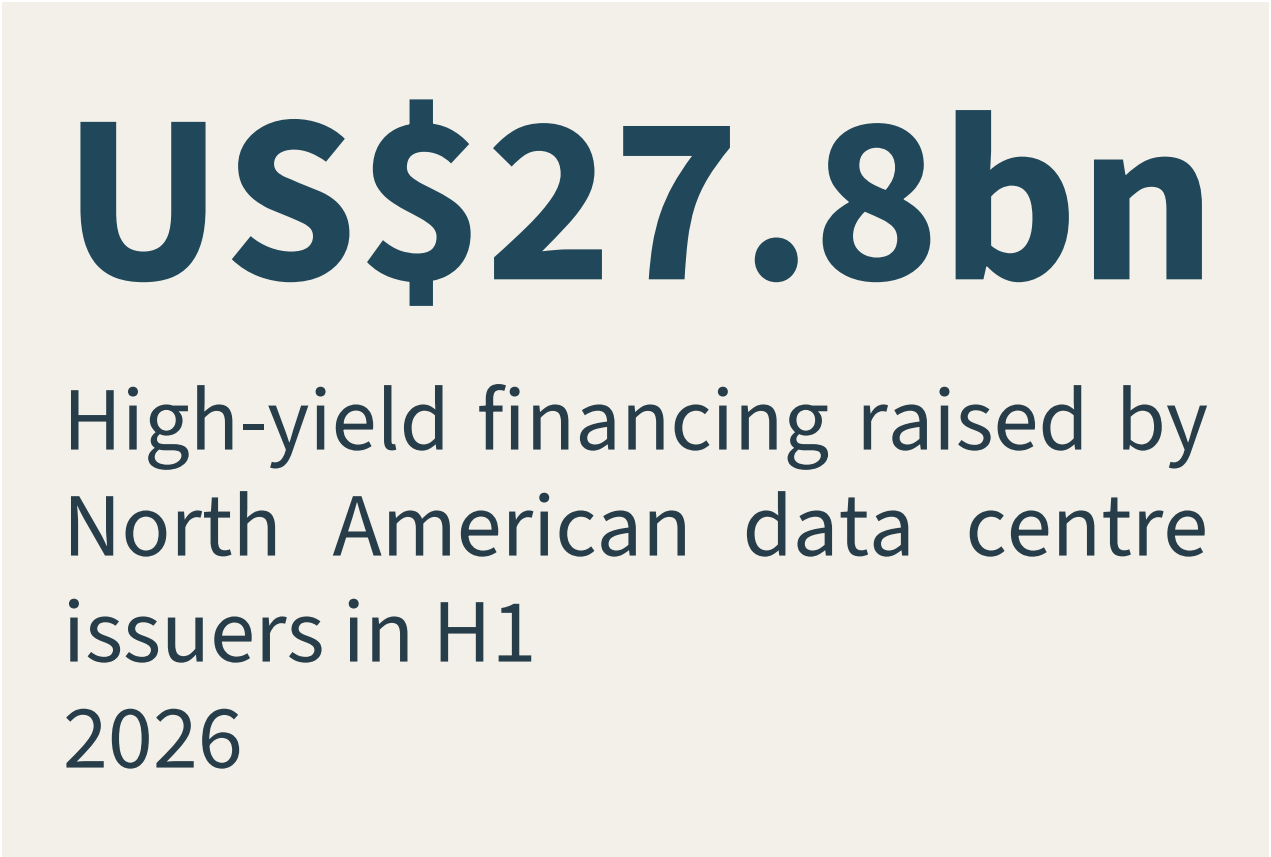
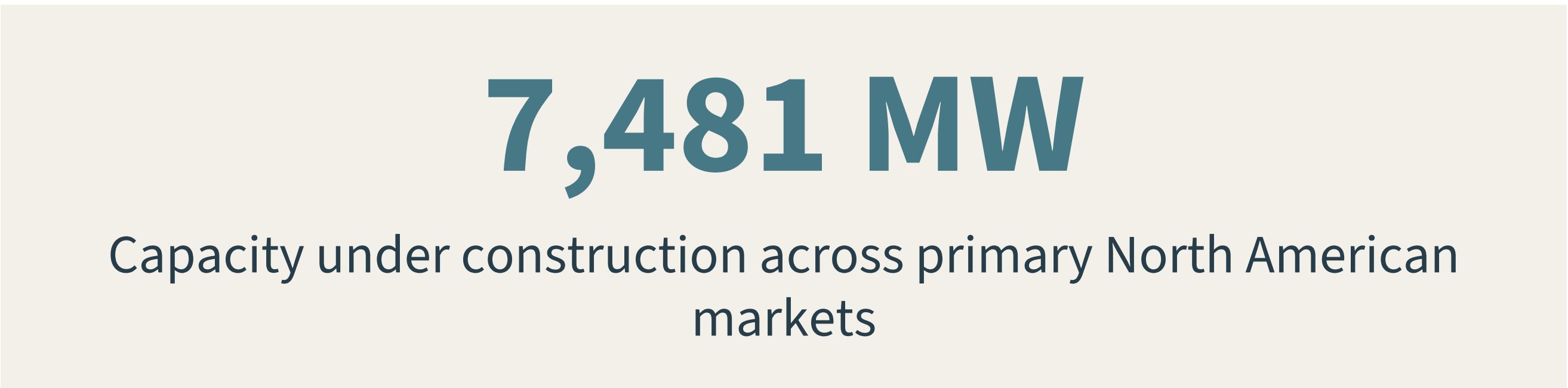
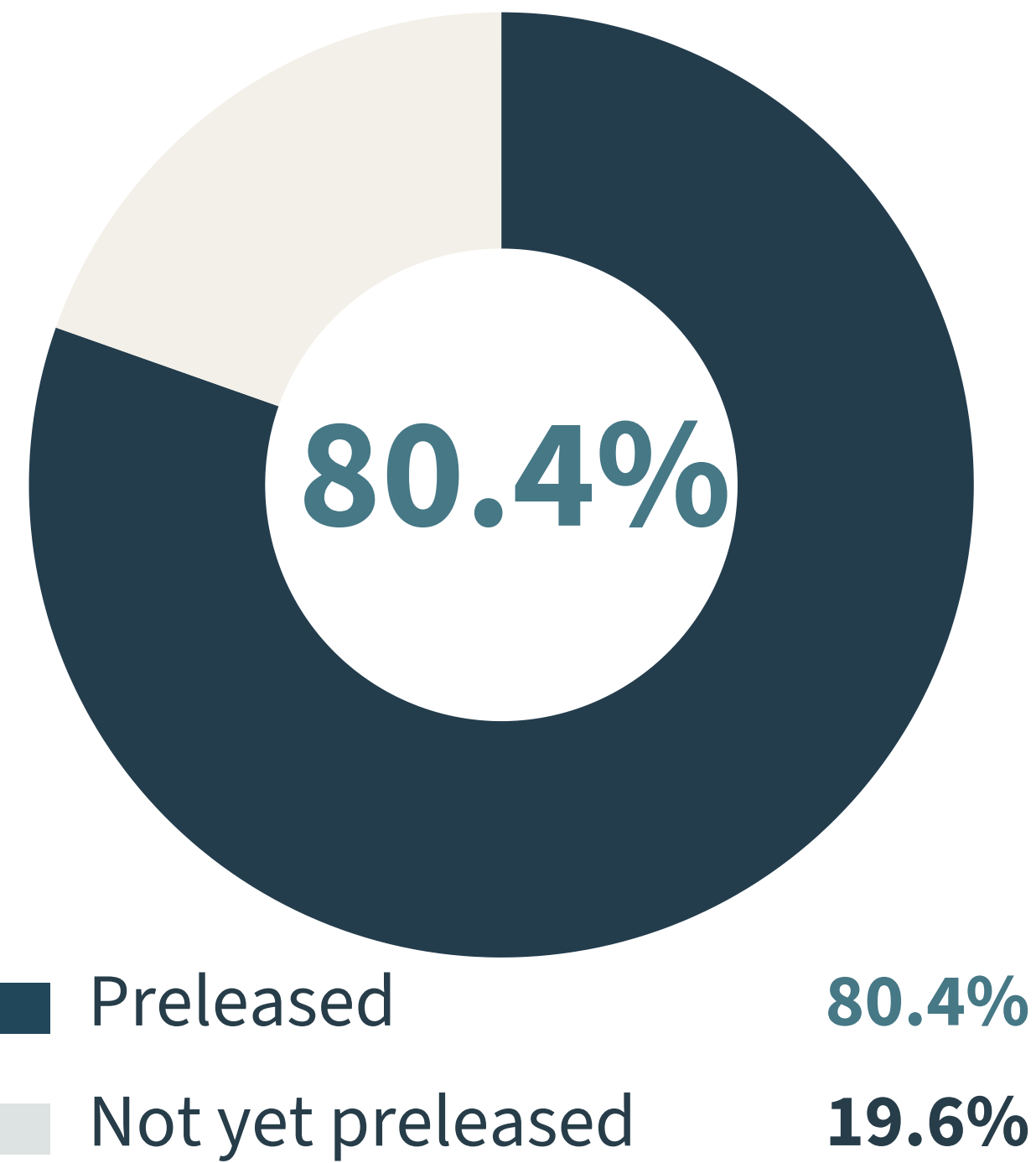
Pharmaceutical tariffs reinforce US manufacturing



Import dependence exposes US access to life-saving drugs and ingredients to supply disruption. Covered patented pharmaceuticals face a 100% tariff. Approved US onshoring plans can qualify for 20%, while eligible companies entering an MFN pricing agreement can temporarily receive a zero rate. The investments shown expand US capacity and reduce supply-chain and tariff exposure, particularly in Active Pharmaceutical Ingredients (APIs). High capital costs and pressure on medication prices may limit returns

Sources: Reuters; Eli Lilly.

Data-centre capacity is largely preleased



Meeting this demand depends on whether power generation, grid infrastructure, permitting and local approvals can keep pace with new capacity.

Regional growth remains uneven



US consumer demand remained strong. Services, construction and manufacturing supported Mexico, while job losses and renewed US tariffs weakened Canada. Higher energy costs and tighter finance could widen this divergence in Q4.

Energy and Freight

Trump’s rejection of Iran’s seven-day proposal reduces the prospect of an early Strait of Hormuz reopening. Fuel and freight costs pressure transport, logistics, agriculture and other energy-intensive industries. An agreement would ease costs, while escalation could lift oil prices and prolong expensive borrowing.

Project Delivery

Texas has paused new data centre permits, exposing electricity and grid constraints. Drug plants must generate tariff savings sufficient to cover higher US production and construction costs. Completions, grid connections and operating capacity therefore indicate delivery more clearly than commitments, which permitting and infrastructure can delay.

Trade and strategic investment

The September Greenland agreement could support Arctic defence, logistics, infrastructure and critical minerals if security commitments become funded projects. Trump-Xi talks may reduce near-term trade volatility, but AI, advanced technology and minerals restrictions remain disputed. Progress would improve conditions for US firms exposed to China. Renewed restrictions would accelerate supply-chain diversification.

Central America and the Caribbean

Domestic demand and remittances support Central America, but a strong El Niño threatens agriculture and raises food costs. Tourism supports the Dominican Republic, while Jamaica’s recovery remains weak after hurricane damage. Climate, tourism and remittance flows will shape growth and investment across these smaller economies.

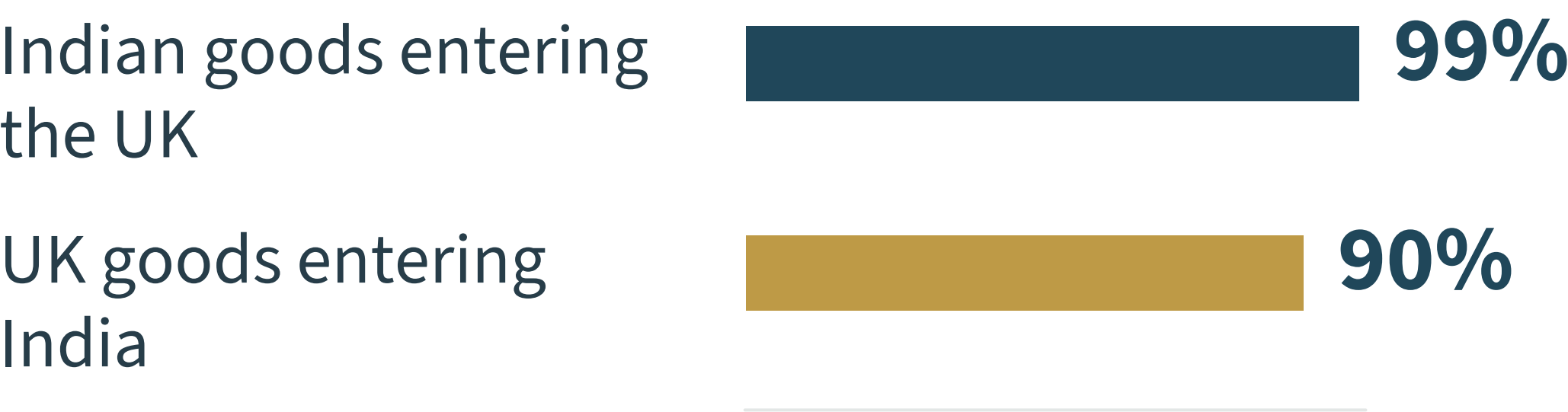
WESTERN EUROPE

Trade integration and strategic technology shaped Western Europe’s quarter. The UK-India FTA, deeper links through Belgium and investment in semiconductors, AI, pharmaceuticals and clean industry create openings. Tighter investment screening and high energy costs remain risks.

UK-India free-trade agreement

The UK-India Free Trade Agreement entered into force on 15 July 2026. Bilateral trade totalled £48 billion in 2025, and the UK expects a £25.5 billion annual increase in the long run. The agreement strengthens the UK’s role as an India-facing European base across the sectors below.

Share of Goods Covered in Tariff liberalisation



Source: UK Government

Reduced trade costs can strengthen manufacturing, services and distribution links. The commercial value depends on the product schedule, rules of origin and the pace of implementation.

UK-India trade: sector implications

Sector	Agreement mechanism	Commercial relevance
Financial services	Dedicated financial-services chapter	Cross-border expansion
Pharma and healthcare	Tariff reductions	Market access and supply chains
Technology	Digital trade and professional mobility	Digital services and partnerships
Advanced manufacturing	Lower machinery and equipment tariffs	Industrial investment
Clean energy	Environmental-goods liberalisation	Green technology
Infrastructure	Procurement access	Engineering and project services
Automotive	Tariff-rate quotas and phased reductions	Premium vehicle market

India-EU trade framework moves forward

On 11 September 2026, the European Commission sent the India trade agreement to the Council for signature and conclusion. It is expected to reduce or remove tariffs on around 90% of tariff lines. Lower costs and access to the integrated EU market could strengthen Indian manufacturing, distribution and services operations in Western Europe.

India-EU trade: sector implications

Sector	What changes	Business implications
Machinery and equipment	Tariff reductions	Lower imported-equipment costs
Pharmaceuticals	Significant tariff liberalisation	Greater market access
Chemicals	Tariff reductions	Potentially lower input and export costs
Medical devices	Tariff reductions	Easier market access
Textiles and footwear	Improved EU access for Indian exports	Export competitiveness
Financial services	Expanded services commitments	Cross-border opportunities
Technology and services	Services and mobility provisions	Easier cross-border delivery

Belgium creates a direct investment channel

During Prime Minister Bart De Wever’s 3-4 September India visit, the countries launched an India-Belgium Investment Fast Track Mechanism and institutionalised their Business Forum. Cooperation covers pharmaceuticals, biotechnology, semiconductors, critical minerals and defence. Belgium’s life-sciences base, specialised logistics, central location and EU access support its role in European manufacturing, R&D and distribution.

Public support for strategic technology

€3.8bn	£1.73bn	6	€30m
Funding cap for 14 German chip projects	UK funding and fundraising, up 16%	Companies selected by the EIC in July	Potential maximum per selected company

Funding supports a broader technology supply chain. Manufacturing capacity, skills and energy availability determine how quickly finance becomes usable industrial capability.



Germany’s July programme covers materials, chip design, manufacturing and advanced packaging. The UK study appeared in September. European AI infrastructure also attracts public and private capital. The European Innovation Council’s July selection includes French AI/computing firms and a Dutch advanced-materials company.

Strategic investment landscape

Sector	Investment rationale	Commercial exposure
AI and data centres	Computing demand and sovereign digital infrastructure	Power, cooling, cloud and data centres
Semiconductors	Supply-chain resilience	Fabrication, equipment, materials and packaging
Pharmaceuticals	Research base and healthcare supply chains	Biopharma, CDMOs, medtech and manufacturing
Clean industry	Decarbonisation and industrial energy demand	Batteries, hydrogen, renewables and grids
Advanced manufacturing	Automation and industrial digitalisation	Robotics, precision engineering and smart factories
Financial services	Digitalisation and sustainable finance	Payments, digital banking and asset management

Sector outlook for Q4

AI infrastructure, advanced computing and industrial AI investment centre on the UK, Germany, France and the Netherlands. Indian pharmaceutical capabilities complement European research, regulation and manufacturing through contract development, biotech and medical technology.

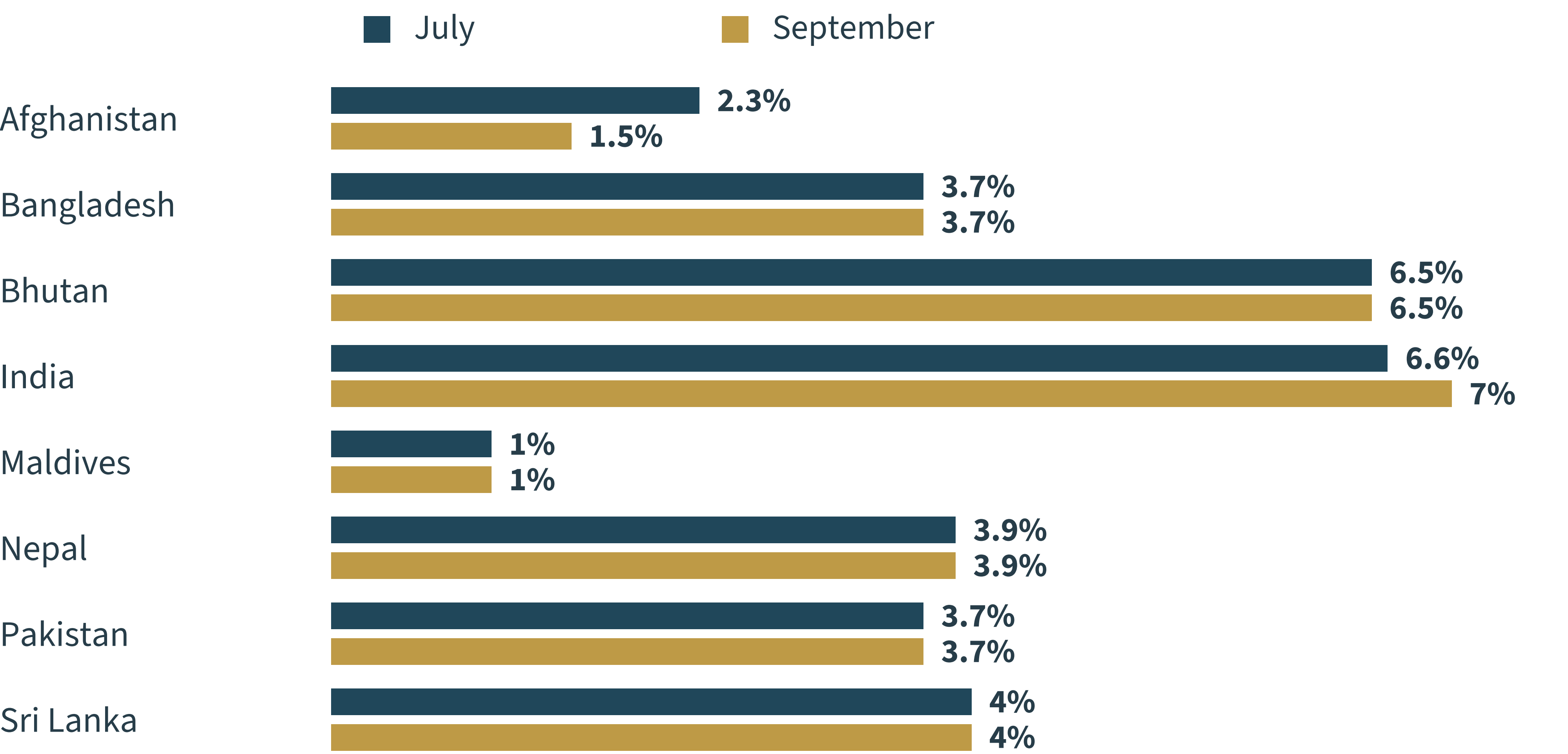
Germany, Austria and the Netherlands are expanding strategic manufacturing and semiconductor capacity. Partnerships and acquisitions can support engineering and component suppliers, but high electricity and financing costs make subsidies and durable industrial demand central to project economics.

The UK, Switzerland and Luxembourg remain major financial centres. Higher funding costs and tighter scrutiny favour specialised services and established cross-border capabilities.

SOUTH ASIA

South Asia retains strong growth but faces a harder external environment. ADB raised its 2026 forecast to 6.4% from July’s 6.0%, with India the main anchor. Regional inflation is projected at 5.5%. Middle East oil and LNG disruption exposes Bangladesh and Pakistan to inflation and fiscal pressure. India’s Russian crude imports fell 16.5% month-on-month to about 2.1 million barrels a day in August, while Iraqi imports rose about 25%. Energy, payment, trade and infrastructure links are deepening, alongside efforts to restore India-China business ties. Nepal’s floods expose infrastructure vulnerability and the importance of cross-border electricity markets.

2026 GDP growth forecasts



Source: Asian Development Outlook, September 2026.

BRICS: payment and technology cooperation

The New Delhi Declaration supports payment interoperability, local-currency trade and investment settlement, AI cooperation and infrastructure. Alternative channels could gradually lower transaction costs, settlement friction and foreign-exchange exposure without immediately replacing dollar finance. Fintech, digital payments, financial infrastructure, AI, cybersecurity and technology services stand to benefit, but differences among members complicate implementation.

SOUTH ASIA

The Middle East conflict transmits an energy shock

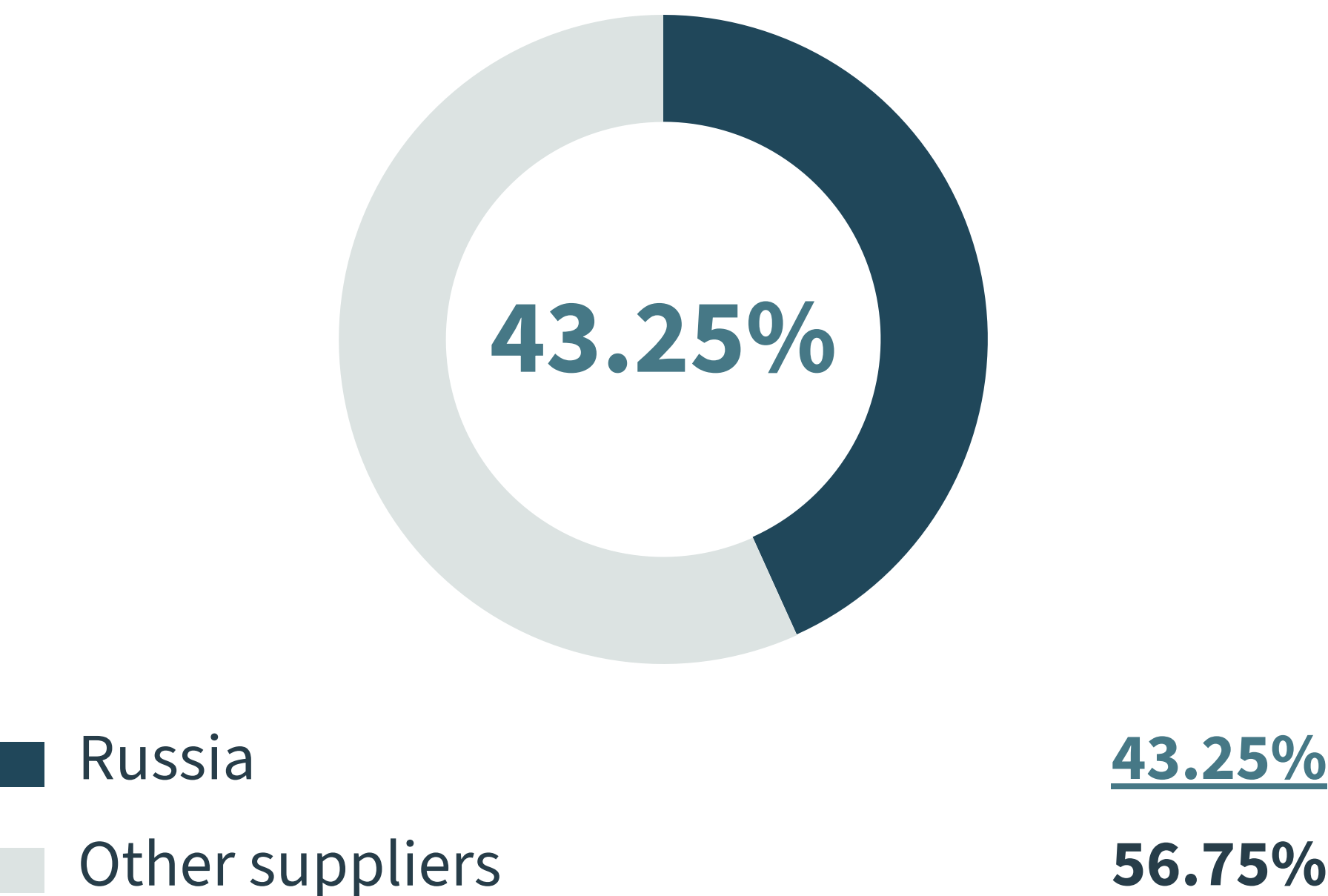
Asian LNG prices rose from about US\$10 to nearly US\$30 per MMBtu after Middle East escalation. Bangladesh relies on imported LNG for over 40% of electricity generation and has faced gas shortages, power cuts and factory shutdowns. Dhaka raised fuel prices by up to 17.4% on 21 September to contain losses and foreign-exchange pressure. Costlier power and transport squeeze households, industry and subsidies, particularly Bangladesh’s garments and Pakistan’s manufacturing and transport. Renewables, storage, resilient grids, diversified suppliers, long-term contracts and efficiency can reduce exposure.



Nepal floods expose infrastructure risk

August floods damaged about 431 MW, roughly 10% of Nepal’s generating capacity, across more than a dozen hydropower plants. Nepal halted power exports and sought Indian electricity. India approved up to 654 MW for 18 hours daily through 31 December. The deficit exposes risks in Nepal’s hydropower-led model and reinforces bilateral electricity dependence. Reconstruction creates demand for transmission, resilient hydropower, bridges, roads, insurance and disaster management. Project locations, hazard assessment and design will receive greater scrutiny. Grid redundancy, storage and diversified generation and transmission assets can improve resilience.

Russian crude creates a tariff exposure channel



Russia’s share of India’s crude imports, April-July average.

Up to 100%
Tariff authority under the sanctions framework

SOUTH ASIA

The **Russia Sanctions bill**, signed on 18 September, authorises tariffs of up to 100% on countries making significant Russian oil purchases. Russia's 43.25% share of India's April-July crude imports exposes refiners to supply and cost changes. Cutting Russian purchases could raise procurement costs, while continuing them risks US tariffs on Indian exports and complicates trade talks. Refiners, petroleum exporters and US-facing manufacturers are most exposed. Middle Eastern, African and Latin American supplies, tariff exemptions or quotas and long-term contracts offer flexibility, but replacing discounted Russian volumes during a global shortage could be costly.

PROCUREMENT

Alternative crude can cost more

TRADE

Continued purchases can raise tariff exposure

REFINERS

Margins depend on the balance of both costs

Growth remains positive

ADB projects 6.4% regional growth in 2026 and 6.5% in 2027, supported by India's 7.0%. The 2027 forecast fell from 6.7% because of weaker investment recovery in Bangladesh and Nepal's flood shock.

Energy-market volatility

Persistent Middle East disruption would raise electricity, transport, fertiliser and manufacturing costs, especially in Bangladesh and Pakistan. ADB expects Pakistan's inflation to rise from 7.1% in FY2026 to 8.3% in FY2027.

India's procurement costs

US sanctions could accelerate India's shift from Russian crude, increasing the cost of reconciling energy security with trade access.

Infrastructure and technology

Energy insecurity supports investment in renewables, storage, transmission, LNG infrastructure and efficiency. Nepal needs reconstruction, while Bangladesh's shortages already encourage private solar investment. BRICS payment, AI and supply-chain initiatives offer longer-term openings in technology and financial infrastructure.

EASTERN EUROPE

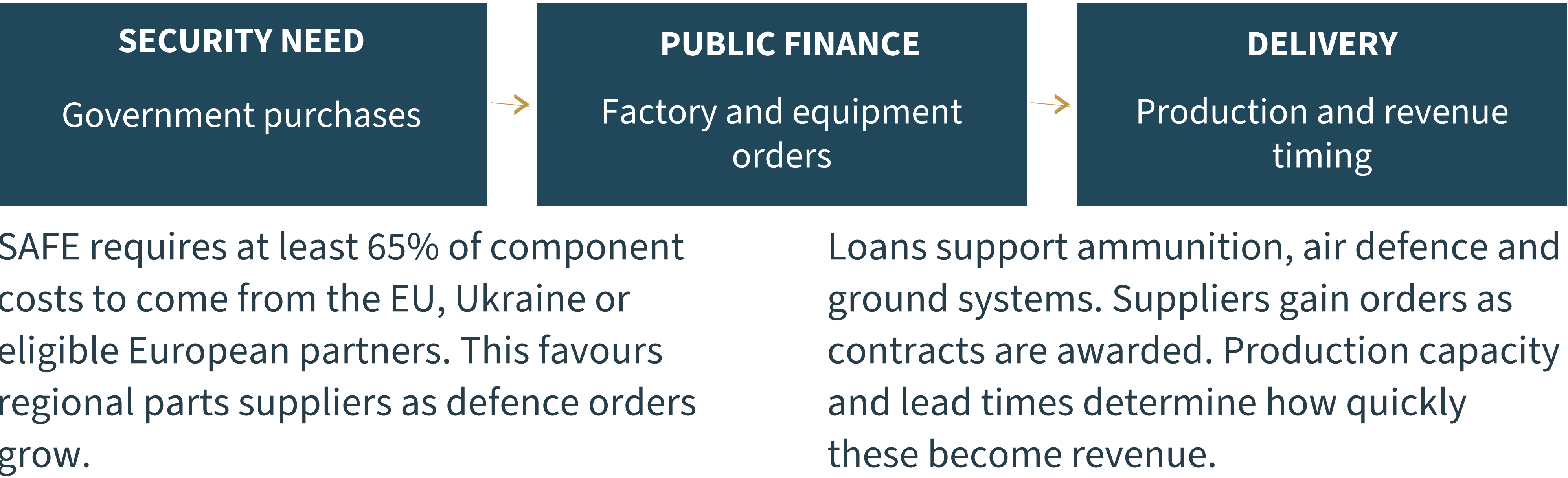
Defence procurement and Ukraine’s reconstruction support investment across Eastern Europe. EU funding improves access to finance, while war and energy disruption raise costs and constrain household spending.

Security Action for Europe (SAFE) provides long-term EU loans for defence purchases. Selected countries received initial payments in August. Allocations support demand, but contract awards and factory capacity determine delivery.

SAFE loan allocations

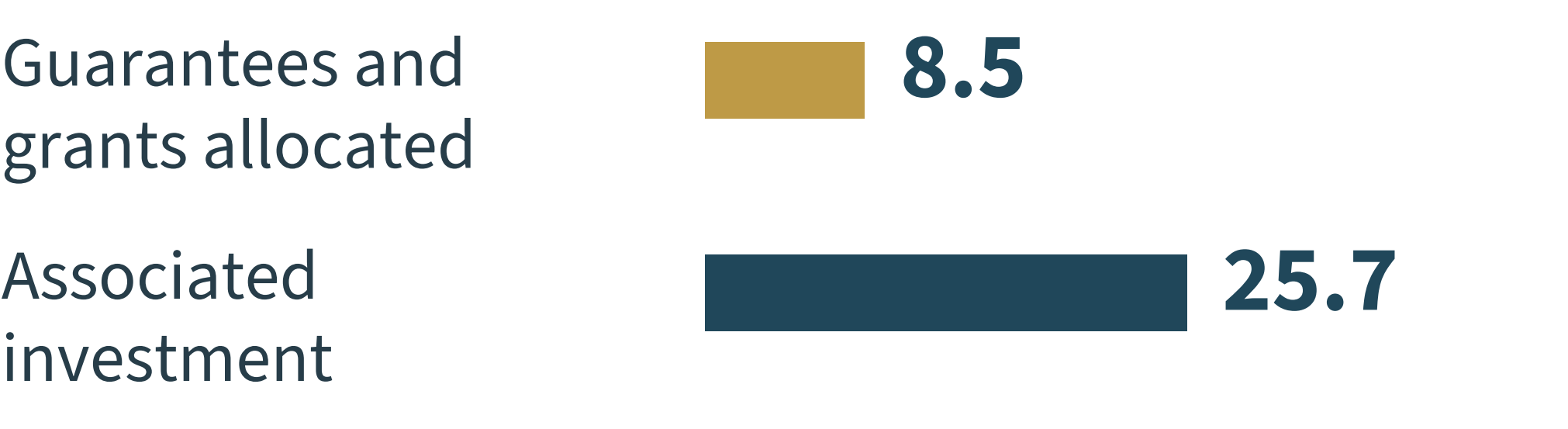


€ billion. Allocations are not spending to date. Commission totals are rounded.



Ukraine Investment Framework

The EU programme uses guarantees and grants to attract finance for Ukraine’s recovery. Guarantees cover part of lenders’ risk and grants reduce project costs, restoring access to capital for power, transport and manufacturing projects disrupted by war.



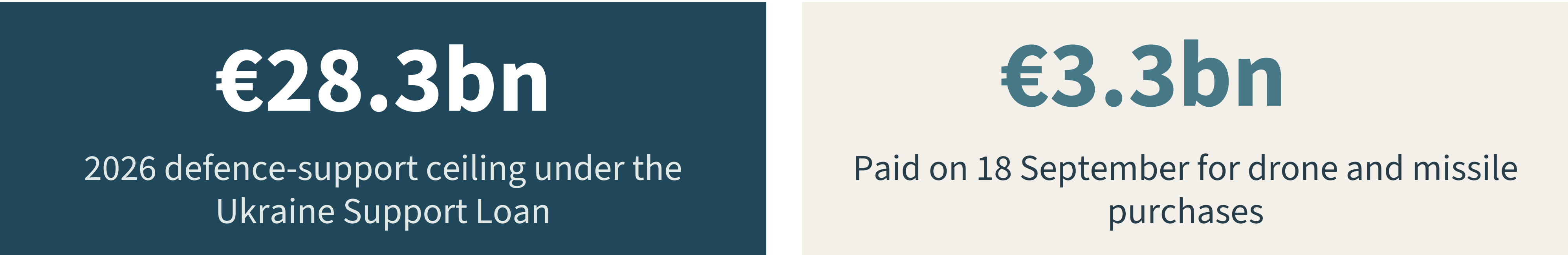
€ billion. Different measures: not additive and not a measure of completed construction.

EASTERN EUROPE

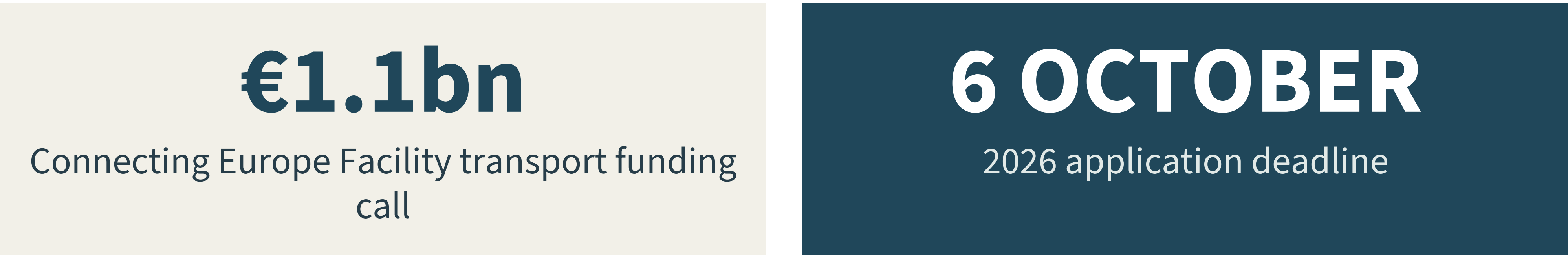
Public support reduces financial risk. It does not remove physical damage, delays or the constraints on construction.



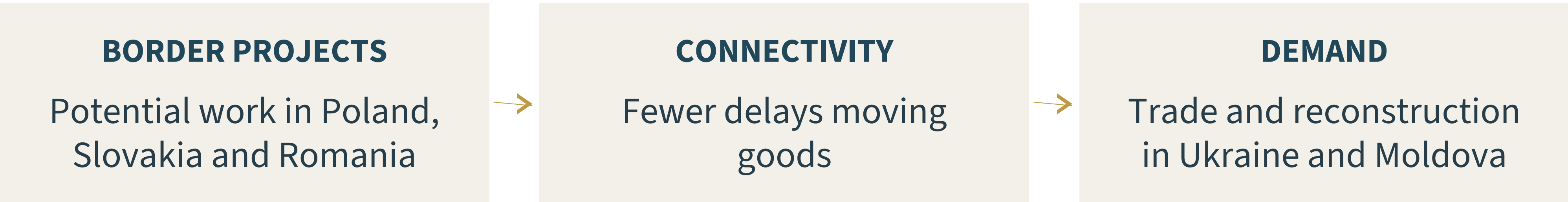
Defence support follows a separate channel



The payment converts authorised funding into purchasing power. Orders support Ukrainian and European manufacturers and component suppliers. Russian attacks, insurance costs and production constraints affect where factories operate and how quickly deliveries can follow.



The Connecting Europe Facility funds EU transport infrastructure. Its June call covers EU countries, Ukraine and Moldova. Rail, ports and military mobility are among its priorities. The funding is a shared pool, not an allocation exclusively for Eastern Europe.



Projects remain subject to selection. Rail and border upgrades support construction and engineering first, followed by logistics and warehousing. Benefits depend on which projects receive funding and when construction finishes.

EASTERN EUROPE

Moldova: overlapping energy and water risks

60 days

Energy and water supply emergency from 26 September 2026

Drought threatens water availability, while reliance on imported gas and electricity exposes firms to regional disruption and higher prices. The emergency powers address these supply risks.

Manufacturers face higher bills and possible interruptions. Power connections, storage and renewables can reduce exposure, but new infrastructure takes time to deliver.

European Commission forecasts for 2026 show why public investment does not produce uniform growth. These annual projections, published on 21 May, are not Q3 results.

Country	GDP growth	Consumer-price inflation
Poland	3.5%	3.6%
Romania	0.1%	7.0%

EU-funded investment and consumption support Poland’s stronger growth. In Romania, tax increases, frozen public wages and high inflation restrict household spending. Infrastructure suppliers can gain public orders while retailers and other consumer businesses face weaker demand.

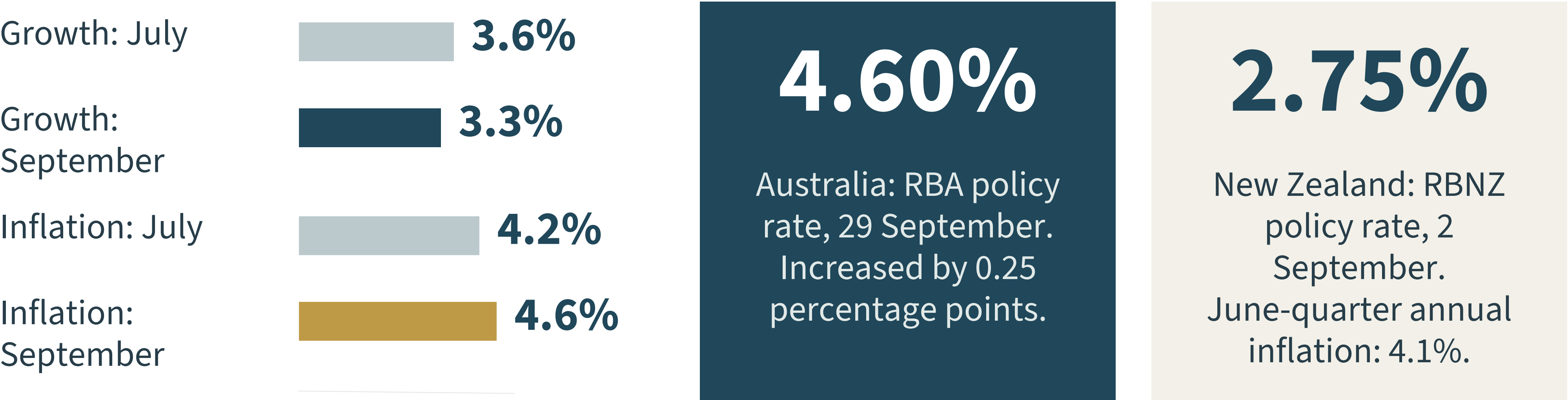
Commercial outlook for October-December

Channel	Commercial effect
Defence	Government procurement supports suppliers. Contract awards and factory capacity determine how rapidly funding becomes revenue.
Ukraine-linked investment	Repair and reconstruction sustain demand for engineering, transport and machinery. War damage and insurance costs can delay delivery.
Energy	Higher electricity and fuel costs restrict margins. Grid, storage and renewable investment creates orders, with benefits arriving gradually.
Household demand	Poland offers a stronger consumer market than Romania. Inflation limits consumer gains even where public investment supports construction.

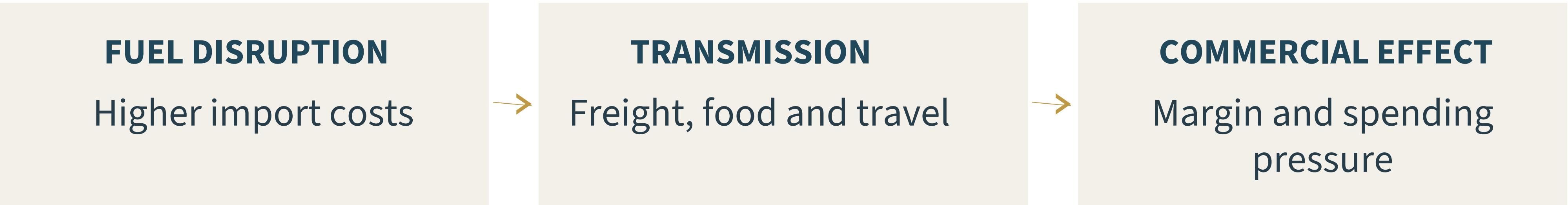
OCEANIA

Fuel costs and tighter money squeeze margins and households. New Zealand-India trade and Australian and Papua New Guinean resource projects create openings. Pacific cables and storage improve resilience. Operating projects can deliver benefits sooner than proposals awaiting finance, power and approvals. Tourism remains exposed to Australian and New Zealand spending.

Pacific forecasts: less growth, more inflation



Pacific aggregate includes Papua New Guinea and island economies, excluding Australia and New Zealand. Sources: ADB; RBA; RBNZ.



Importers, transport operators and hotels face higher input costs while customers have less capacity to absorb price rises. Weaker growth restricts the room to protect margins through pricing.

Higher debt repayments reduce disposable income. More expensive borrowing also makes property development and business expansion harder to finance, reinforcing fuel-cost pressure.

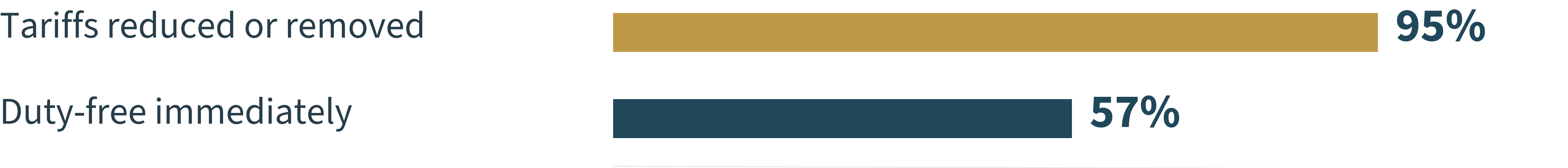
20 OCTOBER 2026

New Zealand-India free-trade agreement: scheduled entry into force

On entry, India’s 33% sheep-meat tariff and duties on over 95% of New Zealand forestry exports disappear. Savings can lower Indian buyer prices or improve supplier margins, depending on how they are shared. The deal narrows the disadvantage against suppliers already covered by Indian trade agreements.

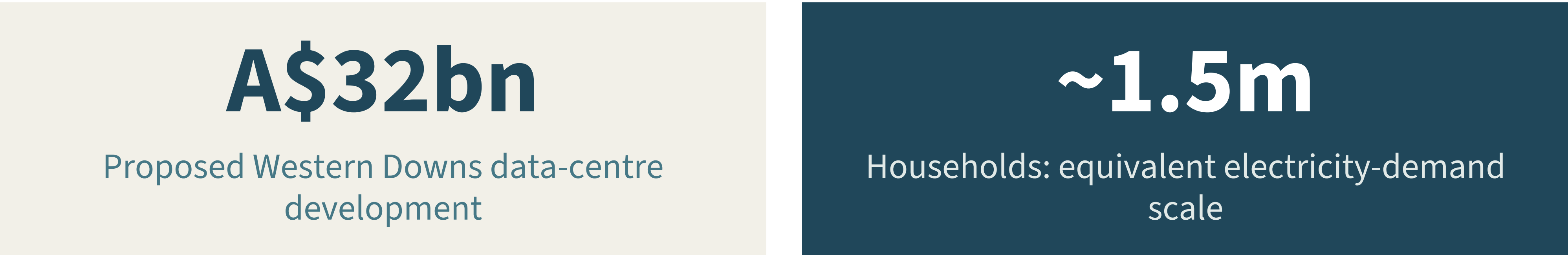
OCEANIA

Coverage of existing New Zealand goods exports to India

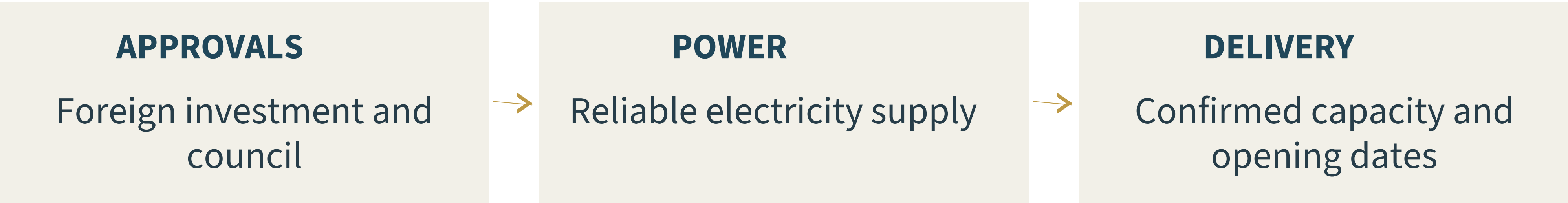


Timing	Product	Tariff treatment
On entry	Sheep meat	33% falls to zero
On entry	Forestry	Duties removed on >95% of exports
Over seven years	Bulk infant formula	Duties eliminated
Over ten years	Wine	150% falls to 25% or 50%, depending on the applicable rate

Immediate relief can improve pricing and margins quickly. Phased wine and infant-formula schedules spread benefits over several years.



Anthropic’s first Australian agreement covers part of Queensland’s Western Downs hub. Foreign-investment and council approvals and electricity supply affect opening. Delays defer revenue while financing costs accumulate.



Pacific digital and energy resilience



The 2,250 km fibre-optic cable links Naoero, Kiribati and the Federated States of Micronesia, serving more than 100,000 people. It became operational in September. Australia contributed about A\$65m, alongside Japanese and US funding.

OCEANIA

Pacific digital and energy resilience

Battery storage added in September supports greater solar use. The combined share of national electricity needs is expected to rise from about 20% to more than 25% after expansion.

Imported diesel exposes Palau’s business electricity costs to global shocks. Storage improves predictability, but profitability gains depend on lower generation costs reaching users.

Reliable connectivity reduces payment and booking interruptions and supports internet services and business software. High retail prices can limit adoption, while power outages still interrupt transactions.

Fiji’s visitor concentration and spending



Australia and New Zealand supplied 68.2% of Fiji’s 99,963 August visitors, exposing hotels and airlines to household pressure in those markets. Lower Q2 earnings and shorter stays show why visitor spending matters more than stable arrivals alone.

Regional forecast

Condition	Commercial implication
Persistent cost pressure	Fuel disruption keeps freight and travel costs elevated. A very strong El Niño would raise drought risks for agriculture and hydropower, increasing pressure on food and electricity supply.
Relief remains conditional	Lower fuel prices would ease input costs, but would not imply immediate interest-rate cuts. Borrowing costs are likely to respond with a lag.

Operating or firm start date: the East Micronesia Cable is operational, and the NZ-India FTA is scheduled for 20 October. Market-access and connectivity benefits are nearer term.

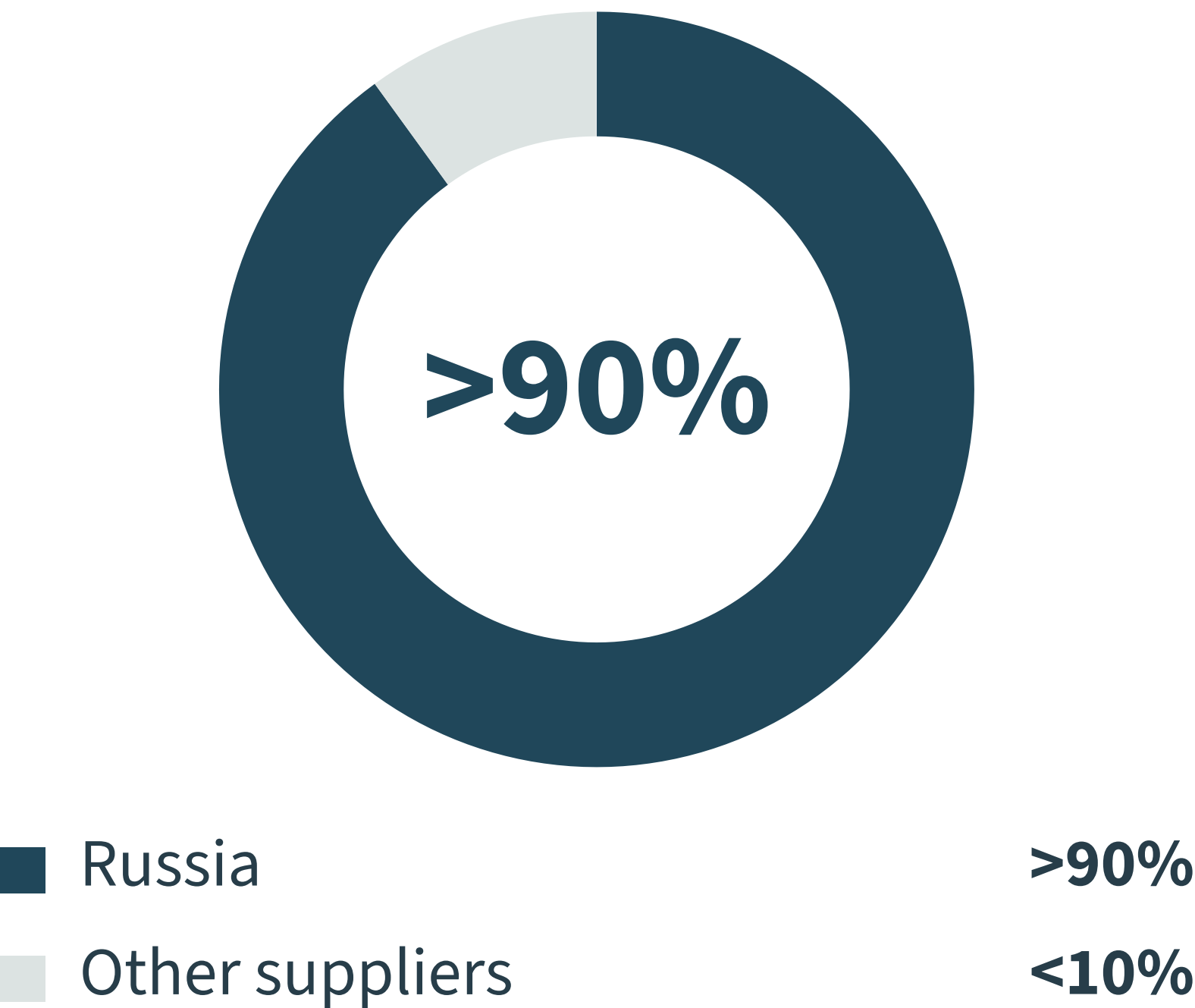
Further decisions required: Queensland’s AI data-centre development still depends on approvals, power, financing and operating capacity.

CENTRAL ASIA

Central Asia remains on course for 5.8% growth in 2026, supported by investment, infrastructure and trade links that diversify Eastern and Western supply chains. Kyrgyzstan led growth at almost 11% and hosted the SCO summit in Bishkek in early September. China sought a common AI data-centre policy. Members adopted a framework for regional data processing, high-performance computing and AI, while Kazakhstan and Uzbekistan continued national strategies and foreign digital investment. Ukrainian strikes on Russian refineries tightened supply and prompted gasoline, diesel and aviation-kerosene export restrictions. Kyrgyzstan is particularly exposed, sourcing about 95% of its annual fuel and lubricant consumption from Russia.



Kyrgyzstan’s fuel dependence on Russia



More than 90% of Kyrgyzstan’s gasoline and diesel consumption is supplied by imports from Russia. Refinery disruption and export restrictions therefore transmit quickly into local transport costs and fuel availability.

AI infrastructure

The US firm Firebird’s Data Center Valley at Ekibastuz, reportedly involving about US\$10 billion and 100,000 Nvidia chips, has become operational. Ekibastuz’s energy resources support power-intensive computing. US capital and Nvidia hardware deepen Kazakhstan’s role in global AI infrastructure and technology supply chains.

CENTRAL ASIA

Oil export diversification

Kazakh producers are exploring Trans-Caspian routes through Azerbaijan and Georgia, including Baku-Tbilisi-Ceyhan and Baku-Supsa, after repeated disruptions to the Russia-linked Caspian Pipeline Consortium (CPC). The CPC carries over 80% of Kazakhstan’s oil exports. Azerbaijan has indicated room for more Kazakh flows through BTC. Diversification strengthens the Middle Corridor and links with the Sout Caucasus, Türkiye and Europe while reducing Russian transit exposure.

Kaspi expands in Türkiye

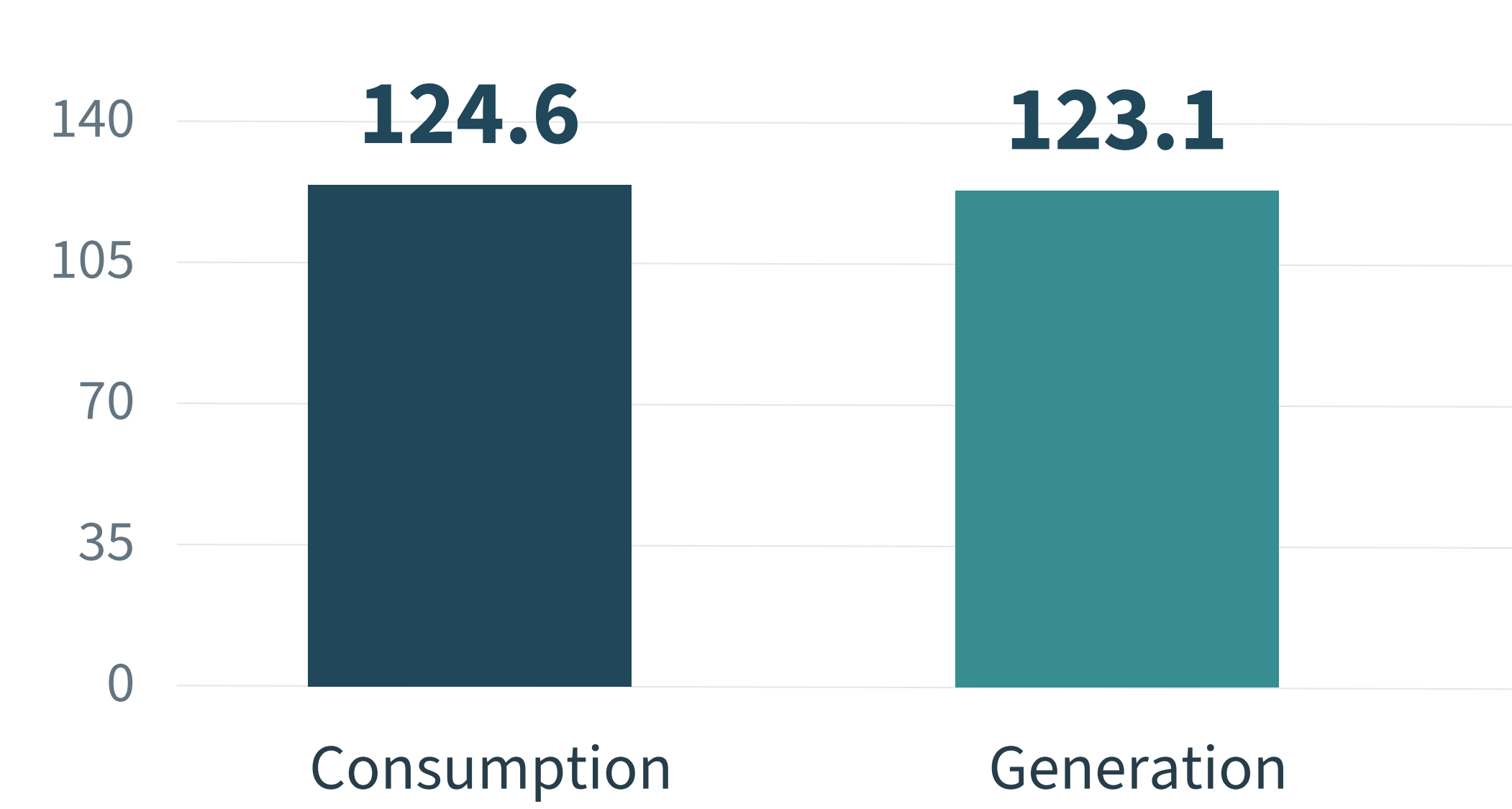
Kaspi.kz acquired Rabobank’s fully licensed Turkish banking subsidiary in July, following its 86.7% stake in Hepsiburada. Buying a banking licence supports regulatory adaptation and integration of banking, payments and e-commerce in Türkiye. The expansion strengthens bilateral commercial ties and demonstrates Kazakh companies’ growing regional reach.

Rail financing and China connectivity

Kazakhstan Temir Zholy (KTZ) filed for a Hong Kong IPO and proposes listings in Hong Kong, London and Kazakhstan. New capital could finance infrastructure and deepen Chinese investor links. The plans reflect rail connectivity’s growing commercial value between China, Central Asia, the Caspian and Europe.

Kazakhstan’s annual electricity balance

Billion kWh



1.5bn kWh
Net annual power deficit

0.17 GW
Equivalent average power deficit

Source figure: Nikkei Asia. Period is not specified in the supplied graphic. Quantities are annual electricity, not installed capacity.

Kazakhstan’s planned AI scale adds to electricity pressure. Generation and grid upgrades determine how quickly computing investment becomes reliable operating capacity.

CENTRAL ASIA

Uzbekistan's digital infrastructure pipeline

Saudi Arabia's DataVolt has begun a 500 MW data-centre project in Uzbekistan, while Oracle is partnering on scalable cloud infrastructure and a broader data-centre ecosystem. Uztelecom commissioned Japanese-backed centres in Bukhara and Kokand within its UzCloud platform. Japan's Muroo Systems also proposes a 50 MW centre powered by small modular reactors. These projects link Uzbekistan's digital and AI ambitions directly to future energy capacity.

Defence diversification

Uzbekistan's reported purchase of six Chinese J-10C fighters expands defence ties with Beijing and diversifies its security partnerships. China supplied 5.6% of global arms exports in 2021-25, with 61% going to Pakistan. Uzbekistan is therefore a potential diversification market for China and illustrates Central Asian states' growing autonomy from Russia's traditional defence sphere.

Aviation expansion

Uzbekistan's new Tashkent airport initially targets 20 million passengers annually, alongside Uzbekistan Airways' transformation and planned IPO. Greater connectivity supports tourism, business and the country's transport-hub role, linking Asian, European and Middle Eastern supply chains.

Regional forecast

Domestic demand, infrastructure and foreign investment support the 5.8% growth forecast. Kazakhstan and Uzbekistan's transport and digital spending strengthen trade diversification and investor appeal.

Industrialisation, population growth and data centres strain electricity networks. Renewables, modern grids, storage and new generation underpin sustained growth. Investment is uneven, with Uzbekistan attracting more renewable-energy capital than its neighbours.

Russian fuel and transit dependence transmits external disruption, particularly to Kyrgyzstan and Tajikistan. Refinery outages and export restrictions increase the value of additional generation and diversified fuel suppliers.

MIDDLE EAST

Hormuz moved from July-August standoff toward near-total closure in September. A 13 September strike on an Iranian cargo ship off Qeshm Island killed one crew member and postponed Oman's shipping-management talks. Late-September UN General Assembly contacts reopened Washington-Tehran diplomacy, while Gulf leaders sought de-escalation and restored shipping. Aramco earnings strengthened and Gulf funds advanced a major US media investment, but the IMF's regional growth outlook remained sharply weaker than before the war.

Hormuz traffic nears a halt

Only two vessels crossed Hormuz on 22 September, against roughly 125 daily before the war, a 98% decline. War-risk insurance at 3-10% of hull value sharply raises the cost of moving energy and other Gulf goods.

~125/day

Pre-war large commercial vessel traffic

2 vessels

Visible crossings on 22 September

3-10%

War-risk premium as a share of hull value

Shipping disruption affects oil pricing

Brent reached US\$102.03 on 23 September. Impaired shipping can sustain higher fuel and transport costs even without a formal closure, indicating a disrupted operating environment rather than a brief price shock.

OPEC+ output and Aramco earnings

OPEC+ completed reversal of its 2023 voluntary cuts with a final 188,000-barrel-per-day increase for September. On 6 September it held October output steady amid export constraints and preparation for capacity-based 2027 baselines. The UAE's May departure lowered OPEC's share of OPEC+ global crude production from about 46% to 42%. Aramco's Q2 2026 adjusted net income rose strongly year-on-year to US\$33.4 billion. Hydrocarbon production fell about a quarter, but exports held near 7 million barrels daily via the East-West pipeline to Yanbu, demonstrating the value of Red Sea alternatives. Banks raised September Brent forecasts as disruption persisted.

~46%

OPEC share of OPEC+ output before the UAE exit

~42%

Share after the UAE exit

US\$33.4bn

Aramco Q2 2026 adjusted net income

MIDDLE EAST

Bab al-Mandeb disruption widens the shipping crisis

Houthi forces captured Mocha and Perim Island in mid-September, controlling Yemen’s side of Bab al-Mandeb. Crossings fell from 30 on 11 September to 15 the next day, and over 2,000 Yemenis reportedly fled to Djibouti within 24 hours. The strait carries roughly 12% of global trade, 11% of maritime oil and 8% of LNG. Egypt’s Suez revenue losses totalled about US\$7 billion in 2023-24, approaching the US\$10 billion cited by President el-Sisi in March 2026. Simultaneous Hormuz and Bab al-Mandeb disruption threatens both Gulf exports and the Suez route.



Israel’s policy easing

The Bank of Israel cut its policy rate for a third consecutive meeting to 3.25% on 1 September, from 4.00% in March, citing a stronger shekel, moderating inflation and an easing risk premium. Its 2026 inflation forecast stands at 1.8%, down from 2.2%, while it projects gross domestic product growth of 4.0% in 2026 and 5.5% in 2027. The 2026 budget deficit is forecast at 4.9% of gross domestic product.

Indicator	Forecast / rate
Policy interest rate	3.25% on 1 September
2026 inflation	1.8%, down from 2.2%
GDP growth	4.0% in 2026; 5.5% in 2027
Budget deficit	4.9% of GDP

Gulf capital remains active

On 18 September, the US Federal Communications Commission approved a structure allowing Saudi Arabia’s Public Investment Fund, the Qatar Investment Authority and Abu Dhabi’s L’imad Holding to hold 49.5% non-voting equity in the proposed Paramount-Warner Bros. Discovery combination. About US\$24bn of Gulf capital backs the transaction. Litigation remains unresolved, with a trial scheduled for March 2027.

MIDDLE EAST

LNG disruption persists

QatarEnergy repeatedly extended force majeure on LNG contracts as Hormuz traffic remained constrained. Edison had reported at least 17 affected cargoes, equivalent to about 2.2bn cubic metres, by late May. The force majeure period was extended again in late August, showing how maritime disruption affects even long-term supply relationships.

Growth forecasts weaken

The IMF's April 2026 update cut Middle East, North Africa, Afghanistan and Pakistan growth to 1.4% from its October 2025 forecast of 3.7%, among the sharpest six-month downgrades since the global financial crisis. The World Bank's June global forecast fell to 2.5%, the lowest since the COVID-19 period. Energy disruption and conflict are weakening wider growth expectations.

Diplomacy remains active and Gulf capital continues to move, but the region's principal trade and energy chokepoints remain impaired. The outlook depends on whether these maritime constraints ease or become embedded in regional trade.

Scenarios for Q4

BASE CASE

Diplomacy continues without a breakthrough. Bab al-Mandeb remains under Houthi control and Hormuz traffic stays severely restricted. Brent is around US\$95-110 per barrel. OPEC+ holds output steady into 2027 baseline-setting and Gulf funds continue selective deployment.

UPSIDE CASE

A formal Hormuz shipping protocol and reopening of Bab al-Mandeb reduce insurance premiums. Brent moves toward US\$75-80 per barrel, Suez traffic begins to recover and Israel's rate-cutting cycle continues.

DOWNSIDE CASE

Talks collapse and restrictions harden into a lasting blockade. Brent exceeds the second-quarter peak of more than US\$130 per barrel. Gulf funds slow outward capital deployment, Qatar LNG force majeure persists and Israel's rate-cutting cycle reverses.

Scenarios are conditional analytical judgments.

AFRICA

AGOA: more visibility, continued tariff friction

On 2 September 2026, President Trump extended the African Growth and Opportunity Act (AGOA) through 31 December 2028. Eligible apparel and light-manufacturing exporters gain certainty, but Section 301 tariffs effective 24 July add 12.5% on goods from Nigeria, South Africa, Angola, Egypt and Morocco, subject to product exceptions.

Market access is more predictable, but affected exporters face a thinner preference margin. Product-level tariff exposure matters as much as AGOA eligibility.

Nigeria-US minerals cooperation

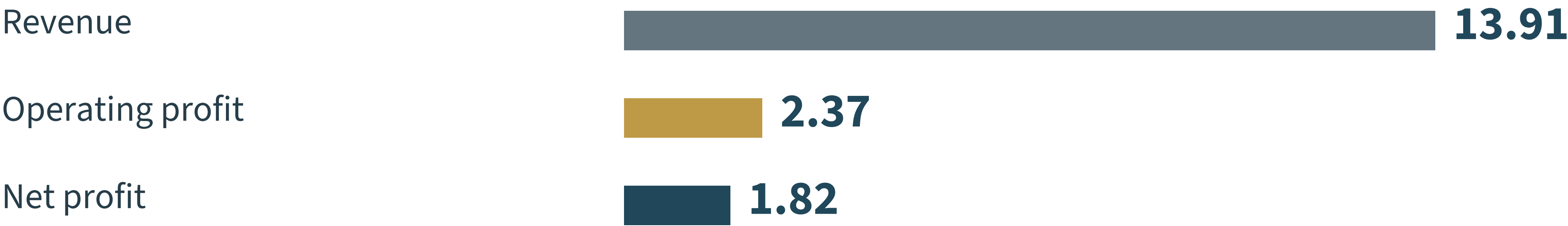
Nigeria and the US signed a mining-cooperation framework in New York during UN General Assembly week on 23 September, announcing it on 24 September. It covers geological data, exploration, processing, infrastructure and technical capacity.

The framework can improve the project pipeline, but the announcement did not commit project capital.

Dangote’s public-market offering

Dangote Petroleum Refinery’s 14 September IPO offered 4.1 billion shares to raise about US\$1.6 billion, implying US\$47.6 billion of equity value. Its audited first-half results are shown in the chart.

Dangote Refinery: H1 2026 financial scale



US\$ billion, H1 2026.

Energy prices constrain monetary easing

South Africa raised rates 25 basis points to 7.25% on 25 September, citing Middle East supply disruption and fuel prices. Egypt held its deposit rate at 19.0% on 24 September, citing hostilities and energy-driven inflation risk.



Higher rates keep working-capital and consumer-credit costs elevated for import-dependent manufacturers, distributors and lenders. Sustained cheaper oil would ease pressure, with borrowing costs responding later.

AFRICA

Government intervention in strategic minerals

The Democratic Republic of the Congo (DRC) caps 2026 cobalt exports at 96,600 tonnes, split as shown. Kenya suspended Tata Chemicals Magadi’s operations on 28 July for regulatory review. Zimbabwe halted antimony and tungsten exports to encourage domestic processing.



Total: 96,600 tonnes. Gold segment: strategic allocation.

Quota, licence and operating terms can change economics after investment.

Diplomatic friction affects routes and investment

Algeria cut UAE diplomatic ties on 10 September and closed its airspace to UAE civilian and military aircraft from 11 September. Existing commercial services to Algiers can continue until year-end. The initially narrow restriction raises routing and relationship risks for Gulf-linked aviation, logistics and investment.



Conflict intersects with investment corridors

Ethiopian federal forces and the Tigray People’s Liberation Front resumed fighting in August, intensifying in September and undermining the 2022 Pretoria framework. M23 conflict continues in eastern DRC, with reports tracing gold and coltan from its mines into Rwanda.

Security risk affects aviation, transport corridors, mineral traceability and compliance. Sourcing risk can persist even when headline production remains available.

West African insecurity raises operating costs

Jama’at Nusrat al-Islam wal-Muslimin has targeted Bamako fuel convoys since September 2025, worsening scarcity, transport disruption and costs. Investigations verified Shahed-136-type attack drones in Mali in 2026. General Birame Diop became ECOWAS Commission president in September. Its 1,650-person counter-terrorism brigade now targets full operation in July 2027, delayed from end-2026.



AFRICA

The African Credit Rating Agency approaches launch

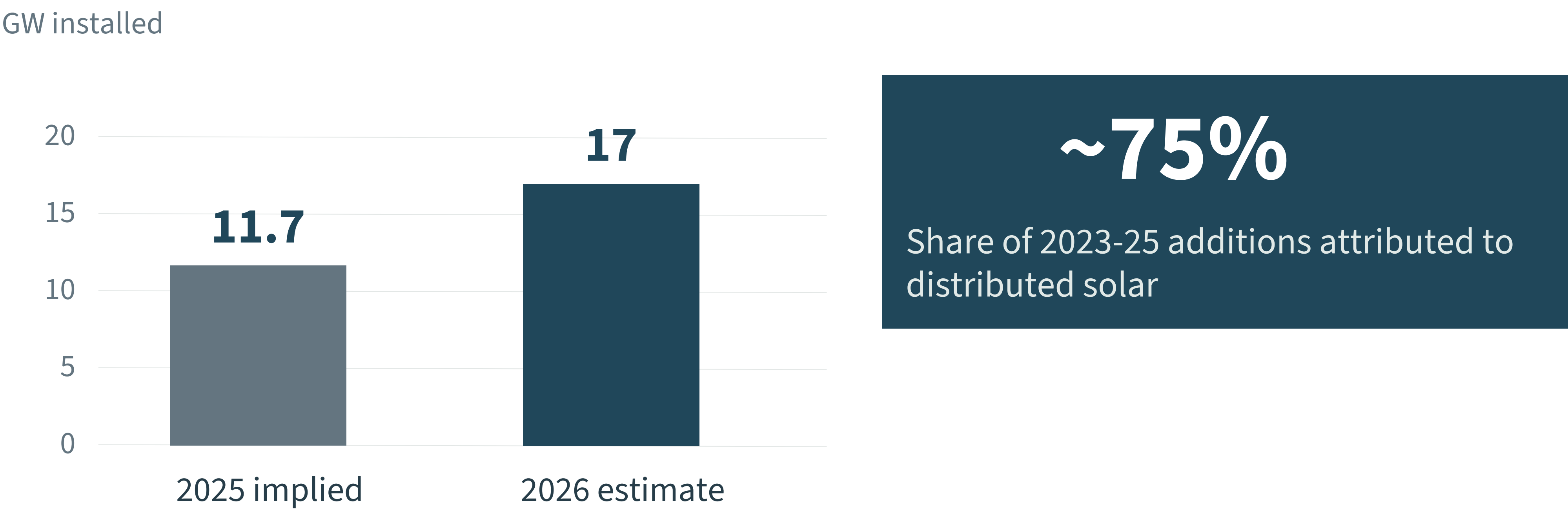
The African Union plans to launch AfCRA in Port Louis, Mauritius, on 7 October 2026. Additional sovereign and corporate credit opinions, particularly in local currencies, seek to address concerns that external ratings increase African borrowing costs.



Market impact depends on issuer uptake and investors using the ratings in pricing, especially in local-currency markets.

Distributed solar reduces fuel exposure

Estimated 2026 solar installations reach 17 GW, up 45% year-on-year. Ember and African Tech Futures Lab attribute roughly three-quarters of 2023-25 additions to distributed solar, much of it outside official statistics.



Lobito Corridor reaches financial close

The Development Bank of Southern Africa and US International Development Finance Corporation closed US\$786 million of Lobito Atlantic Railway financing in July. Delivered upgrades would lower transport costs and transit risk for DRC and Zambian copper and cobalt exports via the Atlantic.

Africa enters Q4 with better trade visibility and a deeper project-finance pipeline. Regulation, conflict, transport security and imported energy costs determine whether capital commitments become operating projects.

LATIN AMERICA

Colombia: Regulatory and Security Constraints

President De la Espriella took office on 7 August and favours renewed exploration. Eased licensing, permitting and fracking rules could unlock up to US\$4 billion. Fracking parameters, royalties and contracts still face legislative and legal constraints. Sirius gas targets 2030 production but needs 120 prior consultations. Security also delays delivery.



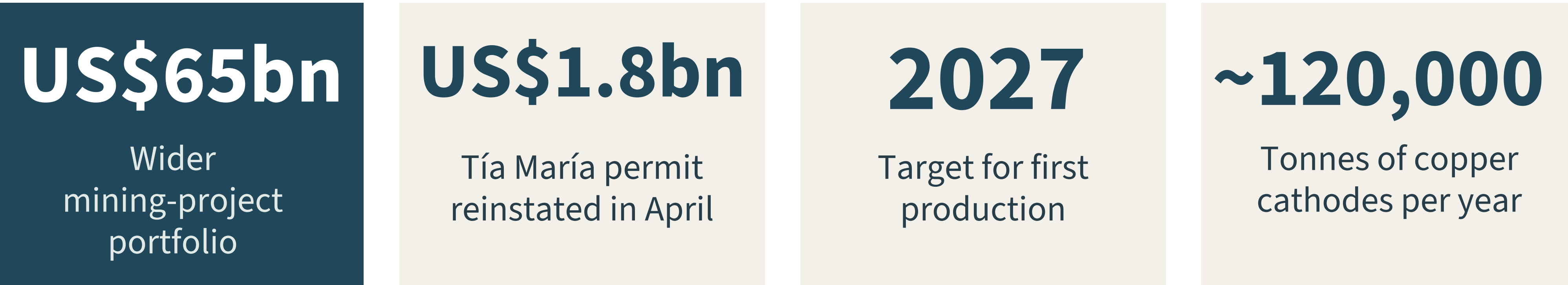
Congress, permitting, legal risk and security constrain delivery. The region recorded 580 attacks and blockades on oil infrastructure in 2025.

Commercial Implications

Existing licences, local relationships and operating assets let incumbents and service firms respond before new production arrives. Policy can improve the project pipeline before increasing supply.

Peru’s Mining Pipeline

Keiko Fujimori won by about 50,000 votes and took office on 28 July. Her approach prioritises approvals, infrastructure, reinvestment incentives and revenue distribution. The Tía María permit, reinstated in April, is the test case for unlocking the wider portfolio shown. Community acceptance, infrastructure and ageing mines imply gradual supply.



Electoral mandate



The narrow mandate and repeated ministerial turnover limit reform. Community acceptance and infrastructure remain prerequisites for sustained output growth.

LATIN AMERICA

Venezuela: oil access improves, debt remains unresolved

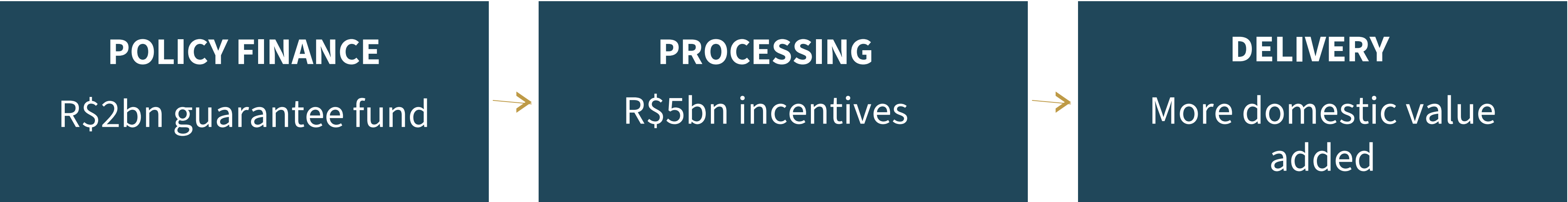
Venezuelan bonds rose after the US-Venezuela oil arrangement covering over 65 billion barrels of proven reserves. Chevron plans over US\$7 billion across five years in its joint ventures, targeting more than double output at about 600,000 barrels daily. VanEck estimates debt obligations at up to US\$229 billion. Creditors await the government debt report, while new entrants face legal and restructuring uncertainty.



Existing joint ventures have an execution advantage.
Debt and legal uncertainty continue to constrain new entrants.

Brazil: election volatility and minerals processing

A 2 September Quaest poll put Lula at 42% and Flávio Bolsonaro at 41% in a hypothetical runoff. Before the vote, the central bank cut rates to 13.75%, against a roughly 14.25% ten-year yield. Banks and rate-sensitive sectors face repricing. The Senate’s 2 September critical-minerals bill includes the guarantee fund and processing incentives shown to retain domestic value added. Bonds and currency react faster than fixed investment.



Chile and Argentina

Copper reached US\$14,850 per tonne on 17 August, but weather at Los Pelambres led Antofagasta to cut 2026 guidance to 625,000-655,000 tonnes. Chile says reviving the 1997 Argentina mining treaty could unlock over US\$20.7 billion and 540,000 tonnes of annual copper capacity. Access to Chilean ports and infrastructure would lower Argentine project logistics costs.



LATIN AMERICA

US\$14,850

LME copper per tonne on 17 August

625-655k

Tonnes: Antofagasta 2026 production guidance

US\$20.7bn+

Potential investment associated with treaty revival

540,000

Tonnes per year of potential additional copper capacity

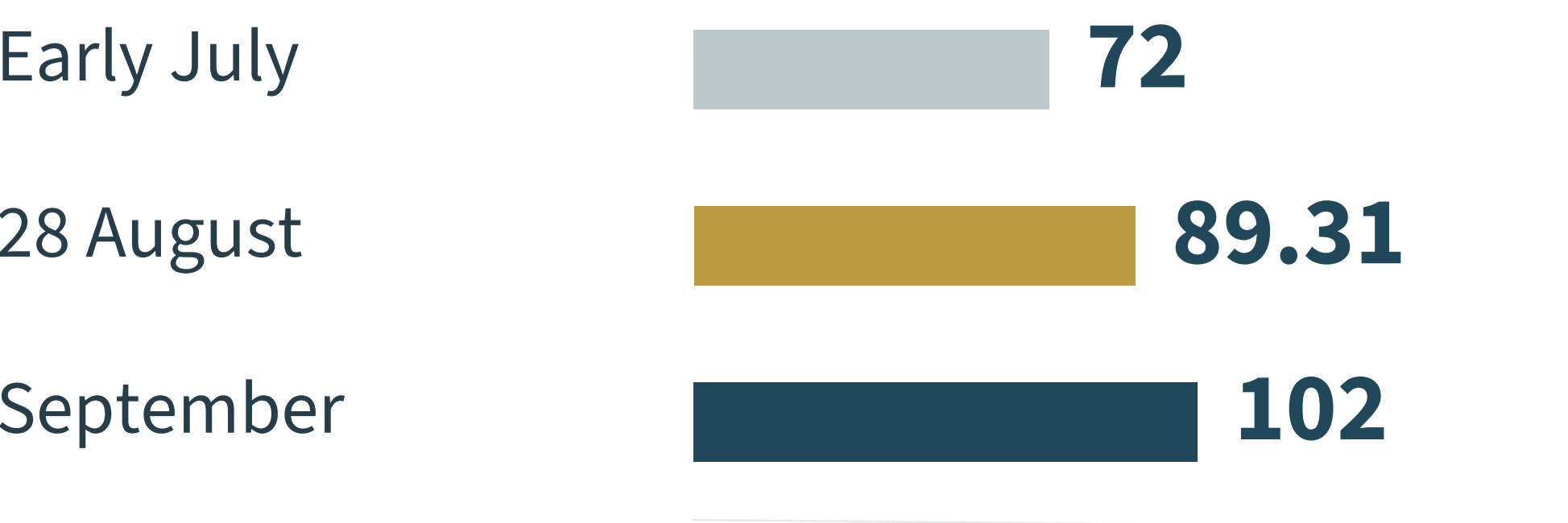
The capacity estimate is a ministerial assessment, not a committed production schedule. Higher copper prices do not remove permitting, weather, infrastructure or financing constraints.

Investment can respond quickly to prices, but output follows only after approvals, construction and suitable operating conditions.

Brazil’s election is the main scheduled market catalyst

Brazil’s 4 October first round and any 25 October runoff can reprice bonds, currency, domestic banks, consumer businesses and utilities before changing fixed investment. Close polling keeps both fiscal-policy scenarios relevant.

Oil-exporter windfalls remain volatile



Brent crude, US\$/barrel. Early July is approximate; September exceeded US\$102.

Restored Hormuz traffic would change Colombia, Ecuador and Brazil’s oil revenues. Higher prices support fiscal buffers, but volatile receipts complicate budgets and can encourage unsustainable structural spending.

Mining conversion remains the delivery test

Colombia’s rules, Tía María delivery, Brazil’s mineral framework and Chile-Argentina protocols are the main tests. Permitting, infrastructure and weather delay supply after prices rise.

Venezuela remains selective

Venezuela’s debt report, restructuring agreement and Chevron ramp-up are key signals. Incumbents retain an advantage until legal and debt terms clear. Regional policy support continues to outpace new supply.

Key Findings and Outlook

Shared opportunities and risks

Energy shocks spread through supply chains

Hormuz crossings fell to 2 from ~125/day pre-war (a 98% reduction). Asian LNG rose from ~US\$10 to ~US\$30/MBtu; US energy prices rose 16.3% year-on-year in August. Higher power and freight costs eat into industry margins and household disposable incomes. Renewables and storage gain relevance in an energy security context, with Africa emerging as a leader. Its 2026 solar additions are estimated at 17 GW (an increase of 45%).

Power supply limits digital investment

Primary North American data-centre markets have 7,481 MW under construction, with 80.4% pre-leased (~6,015 MW). Queensland's A\$32bn proposal awaits power and other approvals. Across North America, Oceania and Central Asia, grids, generation, and cooling offer opportunities to suppliers. The key risk remains delayed connections that can defer revenue and raise financing costs.

Funding arrives before new output

Ukraine received €3.3bn in EU defence funding in September; while the Lobito corridor finalized US\$786m financing in July. Peru's US\$65bn mining portfolio remains a project pipeline. Paid budgets and closed financing favour suppliers before new production arrives. War, approvals, and transport have delayed output in various sectors across Eastern Europe, Africa and Latin America.

Trade access improves on uneven terms

The UK-India deal covers 99% of Indian goods entering the UK and the New Zealand-India tariff relief covers 95% of existing NZ goods exports to India. AGOA's extension through 2028 provides a confidence boost , but 12.5% tariffs affect five African countries. Product rules and compliance will see a renewed focus across these regions to comply with FTA terms and map tariff exposure.

Outlook for Q4 2026

Our central scenario is built around Brent crude priced at US\$95–110/bbl: energy costs constrain gains from infrastructure and defence spending. Reopened shipping routes could bring Brent to US\$75–80, easing importers' costs but reducing exporters' windfalls. A lasting blockade, with Brent above US\$130, would exacerbate pressure on margins. Hedging mechanisms such as expedited trade agreements and greater emphasis on renewable energy open new opportunities in previously unfavorable regions or sectors.

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GEOECONOMIC RISK BAROMETER

Mapping the next moves
of capital and power

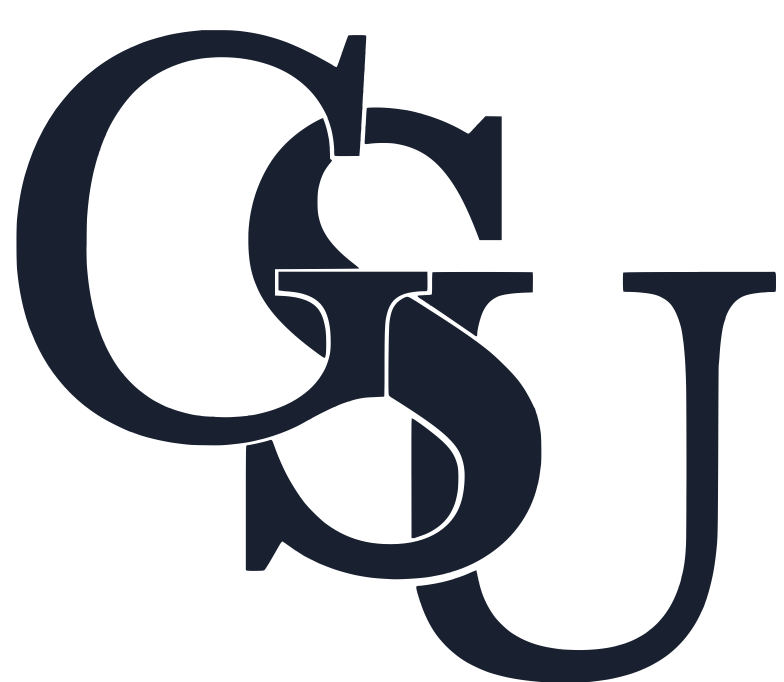
Thank you for reading the Q3 2026 edition.

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GEOECONOMIC
STRATEGY UNIT

Regional overview layout

REUSABLE TEMPLATE 01

[Region name]

[Add a concise regional overview: the principal developments, their commercial effects and the conditions that determine the outlook.]

[Value]

Headline figure

[Value]

Key date

[Value]

Risk indicator

[Development headline]

[Explain the development, the mechanism through which it affects firms, and the limits or dependencies that matter for the analysis.]

DEVELOPMENT

[Trigger]

TRANSMISSION

[Cost or market channel]

COMMERCIAL EFFECT

[Business implication]

[Signal to watch: use a measurable event or indicator, with a source link in the text.]

Analysis and evidence layout

REUSABLE TEMPLATE 02

[Analytical headline]

[State the main finding and the evidence supporting it. Distinguish a policy announcement, a funded commitment and an operating asset.]

Indicator	Current position	Commercial relevance
[Indicator 1]	[Value / date]	[Implication]
[Indicator 2]	[Value / date]	[Implication]
[Indicator 3]	[Value / date]	[Implication]

Regional outlook

[Describe the central outlook, its main dependency and the alternative outcome if that dependency changes.]

[Source: insert a clickable link on the relevant phrase or figure.]